

COMP7901 (2025-26)
Homework #2 Points of Discussion

(a) SWB's liabilities

1. Breach of DPP1

From the given facts, SWB bought the Information from MDC knowing that:

- the Information belongs to PFB;
- the Information has to be kept confidential; and
- there was the Incident where an unknown hacker had accessed and copied the content of PFB's database.

All these suggest that SWB knew that the Information kept by MDC was at least dubious, or likely obtained by unlawful means (hacking, infringement of copyright in PFB's database). Acquiring personal data from such sources is **unfair** to the data subjects. SWB is in breach of **DPP1(2)(b)** with civil liabilities.

2. Breach of DPP3

The original purpose of the Information is for PFB's provision of banking services to its customers. SWB's use of the Information to invite PFB customers to switch to SWB is a new purpose and requires the customers' prescribed consent. No evidence of such consent appears on the facts. This is breach of **DPP3(1)**, which incurs civil liabilities.

3. Use of personal data in direct marketing

SWB's use of the Information to send advertising emails addressed to PFB customers personally, inviting them to switch to SWB, is **use** of personal data in direct marketing: PDPO, s.35A(1). However, the facts do not suggest that SWB has complied with the following requirements.

- **S.35C:** inform PFB customers in the Information about the intended use of their personal data in direct marketing, and seek their consent; and
- **S.35F:** on first use of the Information in direct marketing, inform the PFB customers concerned their right to request SWB to cease to use.

NB. S.35E is only applicable when SWB has complied with s.35C.

SWB is criminally liable for contravening each of the above.

(b) MDC's liabilities

4. Breach of DPP1

The Information was obtained by an employee of MDC directly from PFB's database. It is highly likely that the employee had accessed PFB's database without consent and copied the Information therefrom. Such means of collecting the Information is clearly **unlawful** (hacking + infringement of PFB's database copyright), and the employee is civilly liable for breach of **DPP1(2)(a)**. However, whether MDC is also liable depends on how MDC has acquired the information.

- If the employee's act of obtaining the Information was done in the course of employment (ie. sufficiently connected to the employee's work), then MDC can naturally keep the Information for its business purposes. In this case, the employee's act is, **under common law**, deemed to be done by MDC. As such, MDC is **vicariously liable** for breach of **DPP1(2)(a)**, which incurs civil liabilities.

NB. This vicarious liability does not depend on s.65(1) and is based purely on common law. MDC is only vicariously liable for breach of DPP1(2)(a) (civil wrong), not hacking (crime).

- On the other hand, if the employee's act was not in the course of employment, then MDC must have subsequently acquired the Information from the employee. From the given facts, it is likely that at the time of acquisition, MDC already knew that the Information was obtained by the employee using unlawful means (as a staff member told the private investigator). If so, MDC's collection of the Information in the circumstances is **unfair** contrary to **DPP1(2)(b)**, with civil liabilities.

NB. This is not vicarious liability but MDC's own breach of DPP1(2)(b).

5. Breach of DPP3

The original purpose of the Information is for PFB's provision of banking services to its customers. MDC's sale of the Information to others is a new purpose and requires prescribed consent of the PFB customers concerned. MDC has not obtained such consent and is thus in breach of **DPP3(1)** with civil liabilities.

6. **Doxxing offence under s.64(1)**

Whether MDC is liable under s.64(1) depends on how MDC has obtained the Information as discussed in 4 above.

- If MDC's employee had obtained the Information in the course of employment, then the following can be established.
 - a. Under the common law principle of vicarious liability, MDC is deemed to have obtained the Information from PFB without PFB's consent; (see discussion in 4 above)
 - b. It has sold (disclosed/transferred) the Information to SWB;
 - c. The disclosure was with intent to obtain monetary gain.

Each element of the offence under s.64(1) is thus established, and MDC is criminally liable.

- If the employee's act of obtaining the Information was not done in the course of employment, then MDC must have acquired the Information from the employee. If so, the acquisition should be with the employee's consent. This immediately fails one element of s.64(1) (ie. obtaining data from the data user without consent). Accordingly, MDC is **not liable** under s.64(1).

7. **Provision of personal data in direct marketing**

- If at time of sale, MDC **knew** SWB was going to use the Information in direct marketing, MDC would be **providing** personal data to SWB for use in direct marketing. From the given facts, it does not appear that MDC has complied with the following requirement.
 - **S.35J**: inform PFB customers in the Information **in writing** about the intended provision of their personal data to another for use in direct marketing, and seek their written consent;
 MDC is criminally liable for non-compliance with s.35J.

NB. S.35K is only applicable when MDC has complied with s.35J.

- If at time of sale, MDC had no knowledge that SWB was going to use the Information in direct marketing, then MDC would not be liable for providing the Information to SWB for use in direct marketing.